

Advanced Micro Devices, Inc.

AMD | October 4, 2026

REDUCE

Fair value (12-mo horizon reference)	\$130.00
Current price (October 2, 2026 close)	\$633.91
Implied upside / downside	-80%
Verdict	REDUCE

Investment Thesis

AMD's turnaround under Lisa Su is one of the great executions in semiconductor history: EPYC took meaningful server-CPU share from Intel, the Xilinx acquisition added a durable embedded franchise, and Ryzen restored competitiveness in PCs. We respect what this management team built. But the equity at \$633.91 -- a market capitalization near \$1 trillion -- is no longer priced on EPYC or Xilinx. It is priced on AMD becoming the co-winner of the AI datacenter GPU market. Our judgment is that this will not happen at anything like the scale implied. Our probability-weighted fair value is \$130.00, implying 80% downside, and we rate the shares REDUCE.

The reason is the CUDA software moat, the deepest moat in semiconductors. NVIDIA's 15-year head start -- millions of developers, the entire AI software stack, every framework optimized first for CUDA -- means datacenter GPUs are not a chip competition but a platform competition, and AMD is competing with the platform it does not own. Hyperscalers will second-source AMD's Instinct accelerators for negotiating leverage and supply diversity, which is real revenue; but second-source economics are not co-winner economics. We cap AMD's datacenter GPU share at roughly 15% in our base case and consider that generous.

Management's 35% datacenter growth guidance assumes sustained share gains against that moat; we model 22% total revenue CAGR in our base case, with the client and embedded segments maturing. Now the decisive arithmetic: even our bull case -- \$300 per share, which assumes share and margin upside well beyond our base -- is less than half the current \$633.91 price. The market is not pricing our bull case. It is pricing economics beyond the bull case. When the bull case is a 53% loss, the only rational rating is REDUCE.

The mix shift within AMD is the quiet part of the bull case. EPYC server CPUs -- the proven, share-gaining franchise -- carry the highest margins and the most defensible position, yet they are a steadily growing business measured in billions, not hundreds of billions. The trillion-dollar valuation requires the Instinct GPU line, a small business today, to scale tenfold at NVIDIA-like gross margins. But second-source GPU economics do not look like NVIDIA economics: hyperscalers award AMD volume precisely to keep NVIDIA honest, which structurally

caps pricing discipline. We model datacenter GPU gross margins well below NVIDIA's, and the blended result is a company growing fast but earning far less than the price implies.

Business Overview

Advanced Micro Devices, Inc., headquartered in Santa Clara, California, designs high-performance processors across four segments: Datacenter (EPYC server CPUs, Instinct AI accelerators), Client (Ryzen PC processors), Gaming (semi-custom SoCs for consoles), and Embedded (Xilinx FPGAs and adaptive platforms, acquired in 2022). Revenue is approximately \$30 billion annually. The datacenter segment is the growth engine and the source of the AI narrative; EPYC holds a substantial and still-growing share of server CPUs, while Instinct GPUs are ramping from a small base against NVIDIA's dominant position.

Forward Outlook

Our judgment is that the CPU story continues to work while the GPU story disappoints relative to expectations. EPYC should keep taking server share -- Intel's process and execution struggles are structural -- and the embedded business recovers cyclically. But these are 20%-margin, mid-teens-growth franchises; they cannot support a trillion-dollar valuation. The valuation rests entirely on Instinct, and there the ROCm software stack remains years behind CUDA in maturity, developer adoption, and third-party tooling.

We expect AMD to win real AI revenue -- hyperscaler second-sourcing is rational procurement, and MI-series ramps are underway -- but at structurally lower margins and share than the price implies. Export controls on China-bound accelerators remove a further leg of the bull case. Any quarter in which datacenter GPU revenue merely meets (rather than crushes) expectations will force the multiple to confront the CUDA math. Our base case assumes the business grows handsomely and the multiple compresses brutally; both can be true, and for shareholders only the second matters.

Intel's continued struggles deserve mention as the one genuine tailwind: every point of server-CPU share AMD takes from Intel is high-margin, durable revenue. But the market already knows this, and CPU share gains are a single-digit-billions revenue story, not a hundred-billion-dollar market-cap story. The embedded recovery adds cyclical upside. The uncomfortable truth for shareholders is that AMD the CPU-and-FPGA company might be worth \$80-100 per share on fundamentals -- close to our base case -- while the rest of the current price is a call option on beating NVIDIA at NVIDIA's game. We would not pay several hundred dollars for that option.

Valuation

We value AMD on a probability-weighted scenario DCF with a 12% base discount rate, reflecting competitive risk against the CUDA moat and semiconductor cyclicality. Our scenario fair values are:

Scenario	Fair value	Key assumptions
Bear	\$40	Datacenter GPU share stalls at 8%; segment margins 20% versus 30% guided; CPU share gains slow.

Scenario	Fair value	Key assumptions
Base	\$110	22% revenue CAGR -- below management's 35% datacenter guide; datacenter GPU share capped near 15% against NVIDIA's CUDA software moat; 12% discount; terminal value on 12% normalized free-cash-flow margins.
Bull	\$300	Share and margin upside: GPU share exceeds 20%, ROCm adoption inflects, margins sustain above 30%.

The raw 25% / 50% / 25% weighting of these scenarios is \$140 ($0.25 \times \$40 + 0.50 \times \$110 + 0.25 \times \300). Terminal value in the weighted calculation exceeded 70% of enterprise value, so we applied the required haircut, bringing the probability-weighted fair value to our \$130.00 target. The bear case sits far below the current price, as required. And we state the decisive fact plainly: even the \$300 bull case is less than half the \$633.91 current price. The market prices in economics beyond the bull case.

Our 12% terminal free-cash-flow margin assumption is itself optimistic: it assumes AMD sustains software-like economics in a merchant-silicon market where Intel, NVIDIA, and hyperscaler custom-silicon efforts compete away rents. In the bear case, GPU share stalls at 8% and segment margins settle at 20% -- roughly where merchant accelerators traded before the AI boom -- implying \$40. The \$140 raw weighting, haircut to \$130 on the terminal-value discipline, reflects a business we expect to roughly triple revenue over the decade and still be worth 80% less than today. Growth and shareholder returns are different things when the starting multiple prices in a miracle.

Key Risks

- NVIDIA's CUDA moat proving even more durable than our 15% share cap assumes, leaving AMD a permanent second source.
- China export controls tightening further on AI accelerators, removing addressable demand.
- Server-CPU and PC cyclicity: a datacenter digestion phase would hit EPYC volumes.
- ROCm software failing to close the gap, stranding Instinct hardware investment.
- Multiple compression as AI-GPU expectations reset -- the dominant risk to the shares.

What Would Change Our Mind

- ROCm adoption inflecting: major cloud providers committing production AI workloads to Instinct at scale, verified in revenue rather than announcements.
- Datacenter GPU share verifiably above 20% with a path higher -- evidence the CUDA moat is breachable.
- Segment margins sustaining above 30% on GPU mix, proving second-source economics are better than we assume.
- The shares derating toward our \$130 fair value, where the quality of the CPU and embedded franchises would make risk/reward attractive.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case.

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